Question 5

Redmond Business College
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Stationery Supplies	3,700	
Prepaid Rent	8,400	

Additional Information

a Stationery expense for the year was $3,500.

b Rent expense for the year was $8,100.

The business calculates its profit or loss each year ending 30 June.

Required

1 Prepare the general journal entries to record the stationery and rent expenses for the year ending 30 June 2019.

General Journal

Date	Details	Debit	Credit

2 Carry out the balance day adjustments in the general ledger.

Stationery Supplies

2019 Jun 30	Balance	3,700			

Question 5 continued

Prepaid Rent

2019 Jun 30	Balance	8,400			

3 Prepare the current assets section of the balance sheet on 30 June 2019.

Redmond Business College
Balance Sheet (extract)
as at 30 June 2019

Current Assets	

4 Requirement 4 is a separate question. Complete the current assets section of the balance sheet of Northam Traders.

Northam Traders
Trial Balance (extract)
as at 30 June 2026

Ledger Account Title	Debit	Credit
Stationery Supplies	8,200	
Prepaid Insurance	4,500	

Additional Information

a Stationery expense for the year ended 30 June 2026 was $6,900.

b Insurance expense for the year was $4,300.

Balance sheet entry

Northam Traders
Balance Sheet (extract)
as at 30 June 2026

Current Assets	
Stationery Supplies	
Prepaid Insurance	

Question 6: calculation of the amount of the expense

Question 6

Dynamic Coaching College
Trial Balance (extract)
as at 30 June 2020

Ledger Account Title	Debit	Credit
Prepaid Insurance	5,000	
Prepaid Rent	22,000	
Stationery Supplies	6,000	

Additional Information

a Insurance expense for the year was $4,200.

b Prepaid rent on 30 June 2020 was $1,000.

c Unused stationery on 30 June 2020 was valued at $700.

Profit and loss account entries

Profit and Loss (extract)

2020 Jun 30	Insurance				
	Rent				
	Stationery				

Balance sheet entries

Dynamic Coaching College
Balance Sheet (extract)
as at 30 June 2020

Current Assets Prepaid Insurance	
Prepaid Rent	
Stationery	
Total Current Assets	

Required

Carry out the above balance day adjustment for Dynamic Coaching College.

Question 7

Geraldton Traders
Trial Balance (extract)
as at 30 June 2021

Ledger Account Title	Debit	Credit
Prepaid Advertising	3,900	
Prepaid Rent	27,000	
Stationery Supplies	3,000	

Additional Information

a Prepaid advertising on 30 June 2021 was $1,500.

b Rent expense for the year was $26,000.

c Stationery on hand on 30 June 2021 was valued at $900.

Profit and loss account entries

Profit and Loss (extract)

2022 Jun 30	Advertising				
	Rent				
	Stationery				

Balance sheet entries

Geraldton Traders
Balance Sheet (extract)
as at 30 June 2021

Current Assets	
Total Current Assets	

Required

Carry out the above balance day adjustment for Geraldton Traders.

Questions 8 to 10: accrued expenses adjustment

Question 8

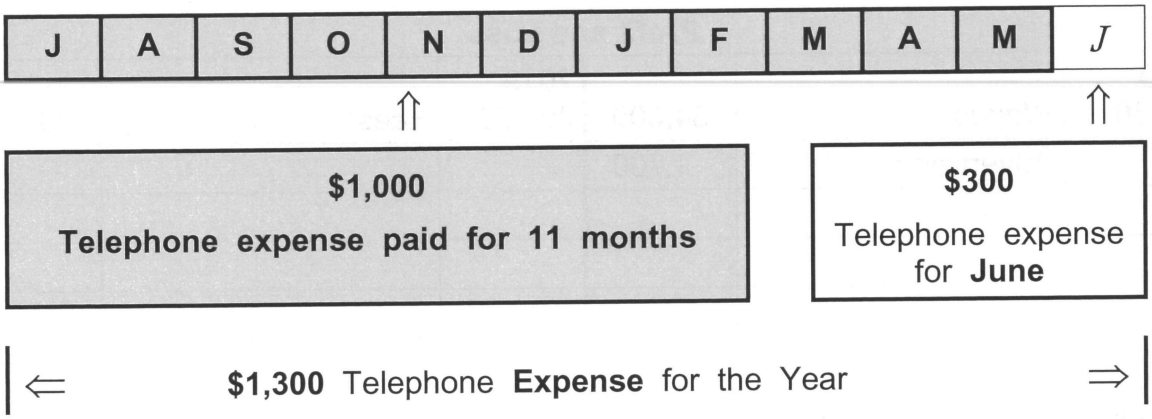
Movie Time DVD Hire, for July 2018 to May 2019, **paid** $1,000 in telephone bills.

These telephone payments were recorded in the general ledger:

Telephone Expense

2018 Jul 1 to 2019 May 31	Bank	1,000	

The telephone bill for **June** 2019, of $300 (excluding GST), was not received until 6 July 2019.



Balance date is 30 June of each year.

Required

1 Prepare the general journal entry to record the accrued telephone expense on 30 June 2019.

General Journal

Date	Details	Debit	Credit

Question 8 continued

Required

2 Carry out the balance day adjustment in the general ledger.

Telephone Expense

2019 Jun 30	Balance	1,000			

Accrued Expenses (liability)

3 Complete the profit and loss ledger account.

Profit and Loss

2019 Jun 30	Wages	34,000	2019 Jun 30	Fees	39,000
	Advertising	1,700			

4 If the accrued expenses adjustment had not been carried out the **profit** for the year ended 30 June 2019 would have been:

a understated by $300 b overstated by $300

5 Prepare the current liabilities section of the balance sheet as at 30 June 2019.

Movie Time DVD Hire
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	

Question 8 continued

Required

6 If the accrued expenses adjustment had not been carried out the **current liabilities** in the balance sheet on 30 June 2019 would have been:

a understated by $300

b overstated bv $300.

7 On 9 August 2019 Movie Time DVD Hire paid $700 + $70 GST = $770 in telephone bills including the $300 of accrued expense.

Prepare the general journal entry to record this payment.

General Journal

Date	Details	Debit	Credit

8 Post the general journal entry into the general ledger accounts.

Telephone Expense

2019 Jun 30	Balance	1,000			

Accrued Expenses

			2019 Jun 30	Telephone	300

GST Credits

Cash at Bank

Question 9

Away Furniture Removals
Trial Balance (extract)
as at 30 June 2026

Ledger Account Title	Debit	Credit
Electricity	2,500	

The electricity bill for June 2026, of $200 (excluding GST), was not received until 7 July 2026.

The business calculates its profit or loss each year ending 30 June.

On 11 August 2026 the business paid $900 + $90 GST = $990 in electricity bills including the $200 of accrued expense.

Required

1 Prepare the general journal entry to record the accrued electricity expense.

General Journal

Date	Details	Debit	Credit

2 Carry out the balance day adjustment in the general ledger.

Electricity Expense

2026 Jun 30	Balance	2,500			

Accrued Expenses

Question 9 continued

Required

3 Record the electricity expense in the profit and loss ledger account for the year ended 30 June 2026.

Profit and Loss (extract)

4 If the accrued expenses adjustment had not been carried out the **profit** for the year ended 30 June 2026 would have been:

a understated by $200 b overstated by $200

5 Prepare the current liabilities section of the balance sheet on 30 June 2026.

Away Furniture Removals
Balance Sheet (extract)
as at 30 June 2026

Current Liabilities	

6 Prepare the general journal entry to record the payment of the accrued electricity expense on 11 August 2026.

General Journal

Date	Details	Debit	Credit

Question 9 continued

Required

7 Post the general journal entry of 11 August 2026 into the general ledger.

Electricity Expense

Accrued Expenses

			2019 Jun 30	Electricity	200

GST Credits

Cash at Bank

Question 10

Carry out the wages balance day adjustment for Harvey Traders.

Harvey Traders
Trial Balance (extract)
as at 30 June 2027

Ledger Account Title	Debit	Credit
Wages	81,300	

Additional Information

Accrued wages on 30 June 2027 was $2,100.

Profit and loss account entry

Profit and Loss (extract)

2027 Jun 30	Wages				

Question 11

Leaky Plumbers
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Wages	29,100	
Prepaid Rent	11,000	
Plumbing Supplies	5,000	
Fees		66,000
GST Credits	2,000	
Loan from Bank (repayable in 2021)		4,000
GST Payable		1,700

Additional Information

a Wages owing on 30 June 2019 was $300.

b The prepaid rent on 30 June 2019 was $1,500.

c A total of $4,700 of plumbing supplies was consumed during the year.

Required

1 Prepare the general journal entries to record the balance day adjustments.

2 Complete the profit and loss ledger account below.

Profit and Loss

2019 Jun 30	Wages		2019 Jun 30	Fees	66,000
	Rent				
	Plumbing Supplies				

3 Prepare the current assets and current liabilities sections of the balance sheet as at 30 June 2019.

Solution Check

Profit = $22,400

Questions 12 to 14: unearned income adjustment

Question 12

On 1 February 2019 the ABC Business College received $60,000 in fees in advance from students for a 10 month course.

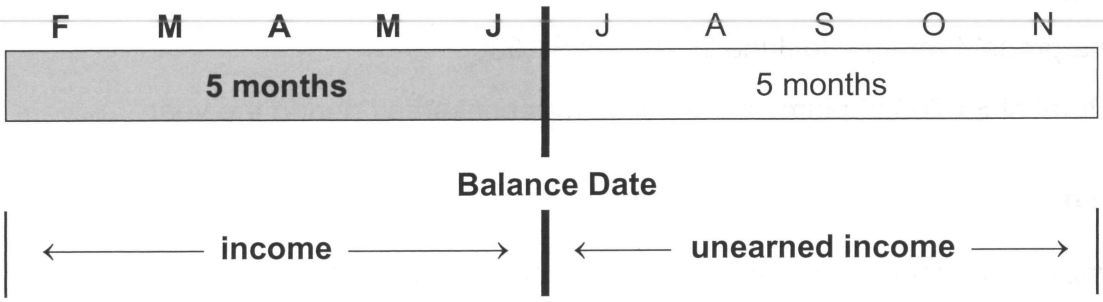
The fees were credited to an unearned income account, a liability account.

Unearned Income (liability)

	2019		
	Feb 1	Bank	60,000

The ABC Business College calculates its profit or loss each year ended 30 June.

On 30 June 2019 a total of 1/2 of the course has been taught and $30,000 of the fees received is income.



Required

1 Prepare the general journal entry to record the fees income for the accounting period ending on 30 June 2019.

General Journal

Date	Details	Debit	Credit

Question 12 continued

Required

2 Carry out the balance day adjustment in the general ledger.

Unearned Income (liability)

			2019 Feb 1	Bank	60,000

Fees (income)

3 Complete the profit and loss ledger account below.

Profit and Loss

2019 Jun 30	Wages	27,000			
	Electricity	1,000			

4 If the unearned income adjustment had not been carried out the **profit** would have been:

a understated by $30,000 b overstated by $30,000

5 Prepare the current liabilities section of the balance sheet as at 30 June 2019.

ABC Business College
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	

6 If the unearned income adjustment had not been carried out the **current liabilities** in the balance sheet on 30 June 2019 would have been:

a understated by $30,000 b overstated by $30,000

Question 13

During the year ended 30 June 2021 Dance World received $29,000 in fees from students for dance lessons that will be given in the future.

The fees received in advance were recorded in an unearned income ledger account:

Unearned Income (liability)

	2021 Jun 30	Balance	29,000

Dance World calculates its profit or loss each 30 June.

By 30 June 2021 Dance Land had given dance lessons to the value of $27,000.

Required

1 Prepare the general journal entry to record the fees income for the year ending on 30 June 2021.

General Journal

Date	Details	Debit	Credit

2 Carry out the balance day adjustment in the general ledger.

Unearned Income (liability)

			2021 Jun 30	Balance	29,000

Fees (income)

Question 13 continued

Required

3 Complete the profit and loss ledger account.

Profit and Loss

2021 Jun 30	Wages	21,000			
	Advertising	5,000			

4 Prepare the current liabilities section of the balance sheet as at 30 June 2021.

Dance World
Balance Sheet (extract)
as at 30 June 2021

Current Liabilities	

5 Below is a list of ledger balances of a business:

Bank overdraft	$2,000
Debtors	5,000
Prepaid rent	1,000
Unearned income	7,000
Accrued expenses	4,000
Motor vehicle	9,000
GST credits	3,000
Inventory	8,000
Loan from bank	6,000

The **net assets** total is:

a $7,000
b $4,000
c $6,000
d $8,000

Solution Check
Profit = $1,000

Question 14

Set out below are the transactions of WA Goldfield Tours for June 2021:

Jun 1 Paid $840 + $84 GST = $924 for a 12 months motor vehicle insurance policy.

Jun 5 Received fees in advance from customers: 94 customers paid for the two week tour of the WA goldfields starting on 13 June and 9 customers paid for the July goldfields tour. The cost of the tour is $70 per person plus 10% GST.

Jun 9 Purchased stationery on credit from the Pen and Paper People $550 (inclusive of GST).

Jun 30 Wages owing to employees at end of month $720.

Jun 30 Stationery consumed during June 2021 was valued at $331.

Jul 7 Paid $980 in wages including the wages owing on 30 June.

WA Goldfield Tours calculates its profit or loss **monthly** using accrual accounting.

Additional Information

The cash at bank balance on 30 June 2021 was $1,428 debit.

Required

1 What is accrual accounting? Use examples taken from the transactions of WA Goldfield Tours in your answer.

2 Record the above transactions in the general journal and all the necessary balance day adjustments on 30 June 2021.

3 Prepare the current assets and current liabilities sections of the balance sheet of WA Goldfields Tours on 30 June 2021.

4 The wages shown in the trial balance of Esperance Traders on 30 June 2028 was $33,000. The wages expense for the year ending 30 June 2028 was $33,700. The accrued wages in the balance sheet on 30 June 2028 was:

a $33,000

b $33,700

c $700

Questions 15 to 17: accrued income adjustment

Question 15

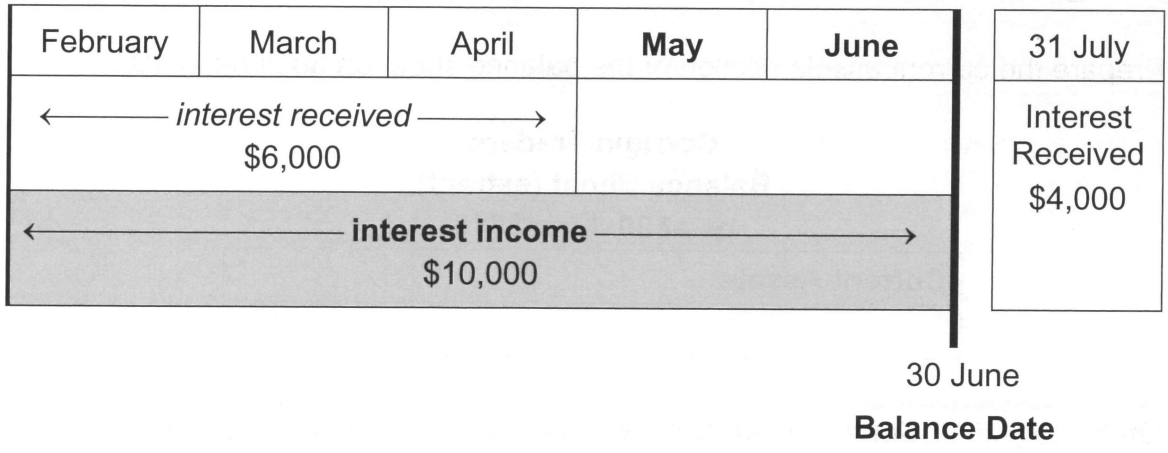
Corrigin Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Interest Income		6,000
Term Deposit – Bank (maturing in 2021)	240,000	

Additional Information

- On 1 February 2019 the business invested $240,000 in a term deposit with a bank.
- The business has received the interest due for February, March and April, 2019.
- The $4,000 of interest due for May and June will not be received **until** 31 July 2019.

This is shown on the diagram below:



Required

1 Prepare the general journal entry to record the accrued income on 30 June 2019.

General Journal

Date	Details	Debit	Credit

Question 15 continued

Required

2 Carry out the balance day adjustment in the general ledger.

Accrued Income

Interest Income

			2019 May 31	Bank	6,000

3 Show how the interest income will be recorded in the profit and loss ledger account for the year ended 30 June 2019.

Profit and Loss (extract)

4 Prepare the current assets section of the balance sheet on 30 June 2019.

Corrigin Traders
Balance Sheet (extract)
as at 30 June 2019

Current Assets	

5 On 31 July 2019 Corrigin Traders received the $4,000 of interest income.

Record this transaction in the general journal.

General Journal

Date	Details	Debit	Credit

Question 15 continued

Required

6 Post the general journal entry of 31 July 2019 into the general ledger.

Cash at Bank

Accrued Income

2019 Jun 30	Interest	4,000			

Question 16

A1 Traders
Trial Balance (extract)
as at 30 June 2022

Ledger Account Title	Debit	Credit
Interest Income		7,000
Term Deposit – Bank (maturing in 2024)	350,000	

Additional Information

Accrued interest income on 30 June 2022 was $2,000.

Required

1 Prepare the general journal entry to record the accrued income on 30 June 2022.

General Journal

Date	Details	Debit	Credit

Question 16 continued

Required

2 Carry out the balance day adjustment in the general ledger.

Accrued Income

Interest Income

			2022 Jun 30	Balance	7,000

3 Show how the interest income will be recorded in the profit and loss ledger account for the year ended 30 June 2022.

Profit and Loss (extract)

4 Prepare the current assets section of the balance sheet on 30 June 2022.

A1 Traders
Balance Sheet (extract)
as at 30 June 2022

Current Assets	

5 On 6 August 2022 A1 Traders received the $2,000 of interest income.

Record this transaction in the general journal.

General Journal

Date	Details	Debit	Credit

Question 16 continued

Required

6 Post the general journal entry of 6 July 2022 into the general ledger.

Cash at Bank

Accrued Income

2019 Jun 30	Interest	2,000			

Question 17

Part A

Try Hard Traders
Trial Balance (extract)
as at 30 June 2029

Ledger Account Title	Debit	Credit
Sales		191,340
Cost of Sales	82,400	
Sales Wages	16,460	
Office Wages	32,983	
Prepaid Rent	24,100	

Balance Day Adjustments

- Sales wages owing on 30 June 2029 were $1,841.
- Office wages expense for the year was $33,741.
- Interest earned but not yet received amounted to $659.
- Prepaid rent was $2,600 on the last day of the accounting period.

Required

Record the income and expense items in the income statement on the next page and calculate the profit for the year ended 30 June 2029.

Question 17 continued

Try Hard Traders
Income Statement
for the year ended 30 June 2029

Sales			
Less Cost of Sales			
Gross Profit			
Add Other Income			
Interest Income			
Less Other Expenses			
Selling and Distribution Expenses			
Cartage Outwards	3,530		
Sales Wages			
Advertising	9,200		
General and Administration Expenses			
Insurance	7,200		
Rent			
Office Wages			
Financial Expenses			
Bad Debts	3,710		
Interest on Loan	1,500	5,210	94,580
Profit			

Part B

An accrued expense is a liability because:

a a business has a present obligation (duty) to pay money

b the obligation exists because of a past transaction

c the settlement of the obligation will result in an outflow of future economic benefits (money)

d all of the above

Solution Check
Profit = $10,917

Question 18

Outback Adventure Tours
Trial Balance
as at 30 June 2024

Ledger Account Title	Debit	Credit
Unearned Fees		47,000
Interest Income		1,000
Wages	17,300	
Prepaid Advertising	6,500	
Prepaid Rent	11,000	
Stationery Supplies (Asset)	1,900	
Cash at Bank	13,500	
Motor Vehicles	61,000	
Term Deposit – Kalgoorlie Bank	14,000	
Accounts Payable		18,200
GST Payable		3,000
Capital		66,000
Drawings	10,000	
	$135,200	*$135,200*

Additional Information

a Fees earned during the year were $46,000.

b Interest earned on the term deposit but not received $900.

c Wages owing on balance date $500.

d Advertising paid in advance amounted to $100.

e Stationery consumed during the year was $1,700.

f Prepaid rent on 30 June 2024 was $400.

Required

Prepare the profit and loss ledger account for the year ended 30 June 2024.

Solution Check
Profit = $11,400

Question 19 and 21: creation of allowance for doubtful debts

Question 19

WA Couriers
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Accounts Receivable	70,000	

Additional Information

After a review of all the accounts receivable, the following three debtors were identified as unlikely to pay the money owing:

Citywide Traders	3,000
Power Traders	1,000
Zenith Traders	2,000
Total	*$6,000*

Therefore, the business decided to establish an allowance for doubtful debts of $6,000.

Required

1 Prepare the general journal entry to establish the allowance for doubtful debts.

General Journal

Date	Details	Debit	Credit

Question 19 continued

Required

2 Post the general journal entry into the general ledger and Transfer the doubtful debts expense to the profit and loss ledger account for the year ended 30 June 2019.

Doubtful Debts

Allowance for Doubtful Debts

Profit and Loss (extract)

3 Prepare the current assets section of the balance sheet on 30 June 2019.

WA Couriers
Balance Sheet (extract)
as at 30 June 2019

Current Assets		
Total Current Assets		

4 What is the difference between a doubtful debt and a bad debt?

Question 20

Dirt Busters Cleaning Service
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Accounts Receivable	91,000	

Additional Information

On 30 June 2019, after a review of all the receivable, the following three debtors were identified as unlikely to pay the amounts owing:

Alpha Traders	5,000
Beta Traders	2,000
Omega Traders	1,000
Total	*$8,000*

Therefore, the business decided to establish an allowance for doubtful debts of $8,000.

Required

1 Prepare the general journal to establish the allowance for doubtful debts on 30 June 2019.

General Journal

Date	Details	Debit	Credit

Question 20 continued

Required

2 Post the general journal entry into the general ledger and transfer the doubtful debts expense to the profit and loss ledger account for the year ended 30 June 2019.

Profit and Loss (extract)

2019 Jun 30	Wages		2019 Jun 30	Fees	91,000
	Doubtful Debts				

3 Prepare the current assets section of the balance sheet on 30 June 2019.

Dirt Busters Cleaning Service
Balance Sheet (extract)
as at 30 June 2019

Current Assets		
Total Current Assets		

Question 21 to 24: adjusting an allowance for doubtful debts

Question 21

On **30 June 2018** Industry Traders decided that $1,000 owing from a debtor, Freeze Traders, was to be treated as a doubtful debt.

On **1 March 2019** $700 owing from Freeze Traders was written off as a bad debt.

Industry Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Bad Debts	700	
Accounts Receivable	19,000	
Allowance for Doubtful Debts		1,000

Additional Information

On 30 June 2019 the allowance for doubtful debts is to be set at $3,000.

Required

1 Prepare the required general ledger accounts to carry out the decision made on 30 June 2019.

Bad Debts

2019 Mar 1	Accounts Receivable	700			

Allowance for Doubtful Debts

			2018 Jun 30	Balance	1,000

Doubtful Debts

Profit and Loss

Question 21 continued

Required

2 Prepare the required general journal entries.

General Journal

Date	Details	Debit	Credit

Question 22

Esperance Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Bad Debts	5,000	
Accounts Receivable	100,000	
Allowance for Doubtful Debts		2,000

Additional Information

The allowance for doubtful debts is to be set at $3,000.

Required

1 Prepare the following ledger accounts to carry out this decision:

- bad debts
- doubtful debts
- allowance for doubtful debts
- profit and loss.

2 Prepare the required general journal entries.

Question 23

Mount Barker Suppliers
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Bad Debts	3,000	
Accounts Receivable	167,000	
Allowance for Doubtful Debts		5,000

Additional Information

The allowance for doubtful debts is to be adjusted to $4,000.

Required

Prepare the following ledger accounts to carry out this decision:

- bad debts
- doubtful debts
- allowance for doubtful debts.

Question 24

Katanning Suppliers
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Bad Debts	6,710	
Accounts Receivable	119,000	
Allowance for Doubtful Debts		4,000

Additional Information

The allowance for doubtful debts is to be adjusted to $3,100.

Required

Prepare the following ledger accounts to carry out this decision:

- bad debts
- doubtful debts
- allowance for doubtful debts.

Question 25 to 27: calculation of the amount of the balance day adjustment

Question 25

Below is a series of transactions for different businesses. The profit or loss for each business is calculated each year ending 30 June.

Prepaid Expenses

1 a 12 months insurance policy on office equipment had been taken out on 1 March 2019. An amount of $600 + $60 GST = $660 was paid on that date.

2 a 12 months insurance policy had been taken out on 1 April 2019. The cost of the insurance policy was $800 + $80 GST = $880.

3 a 12 months insurance policy costing $600 (before GST) had been taken out on 1 February 2019.

4 a contract to include half page advertisements in four monthly issues of a magazine, commencing with the April issue, was signed on 31 March 2019. A total of $600 + $60 GST = $660 was paid on that date.

Stationery Supplies

5 Stationery on 1 July 2018 was valued at $200. During the year ending on 30 June 2019 a total of $5,000 of stationery was purchased and $100 of stationery was on hand on 30 June 2019.

6 Stationery on 1 July 2018 was valued at $100. During the year ending 30 June 2019 stationery costing $4,200 was purchased and $300 of stationery was on hand on 30 June 2019.

Accrued Expenses

7 The employees of a business are paid a total of $1,400 wages for working a five day week. Pay day is Tuesday of each week. The employees are paid for all work completed up to and including pay day. Balance day falls on a Friday this year.

8 The employees of a business are paid a total of $1,600 wages for working a five day week. Pay day is Thursday of each week. The employees are paid for all work completed up to and including pay day. Balance day falls on a Monday this year.

Required

For items 1 to 6, calculate the dollar amount of the expense that would be recorded in the profit and loss ledger account prepared on 30 June 2019. For items 7 and 8, calculate the accrued wages on balance date.

Question 26

The following transactions occurred in the business known as Gotcha Pest Controllers during the year ended 30 June 2019.

1 The employees of the business are paid $400 wages a day for working a five day week. Pay day is Thursday of each week. Balance day falls on a Monday this year. The employees are paid for all work completed up to and including pay day.

2 The business paid $6,000 (excluding GST) on 30 April 2019 for a series of advertisements in a monthly magazine. The advertisements are to run for six month starting from May 2019.

Required

Prepare the general journal entries to record the balance day adjustments made on 30 June 2019.

Question 27

The following transactions occurred in the business known as the U Learn Driving School during the year ended 30 June 2027.

1 The driving instructors are paid a total of $3,100 wages for working a five day week. Pay day is Thursday of each week. Balance day falls on a Wednesday this year.

The employees are paid for all work completed up to and including pay day.

2 A business received $73,200 in fees + $7,320 GST = $80,520 for the year ended 30 June 2027. Fees received in advance on balance date amounted to $4,700.

The fees received during the year totalled $69,000.

3 The business invested $84,000 in a bank term deposit at an interest rate of 10% per annum on 28 February 2027.

Interest is paid each year on 1 August and 1 February.

Required

Prepare the general journal entries to record the balance day adjustments made on 30 June 2027.

Questions 28 to 33: revision - accrued expenses

Question 28

Tardun Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Wages	9,000	

Additional Information

The accrued wages on 30 June 2019 was $350.

Required

Which is the correct adjusting entry?

Entry A

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Wages Accrued Expenses *Accrued wages on balance date.*	350	 350

Entry B

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Accrued Expenses Wages *Accrued wages on balance date.*	350	 350

Question 29

Yalgoo Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Wages	72,000	

Additional Information

The accrued wages on 30 June 2019 was $341.

Adjusting ledger entry

Wages Expense

2019 Jun 30	Balance	72,000			

Accrued Expenses

Profit and loss ledger account entry

Profit and Loss

2019 Jun 30	Wages				

Balance sheet entry

Bunbury Traders
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	
Accrued Wages	

Question 30

Able Coaching Services
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Telephone	1,400	

Additional Information

The accrued telephone expense on 30 June 2019 was $210.

Adjusting general journal entry

General Journal

Date	Details	Debit	Credit
2019 Jun 30			

Adjusting ledger entry

Telephone Expense

2019 Jun 30	Balance	1,400			

Accrued Expenses

Profit and loss ledger account entry

Profit and Loss

2019 Jun 30	Telephone				

Balance sheet entry

Able Coaching Service
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	
Accrued Expenses	

Question 31

Radio Station Here4U
Trial Balance (extract)
as at 30 June 2022

Ledger Account Title	Debit	Credit
Wages	26,900	

Additional Information

The wages expense for the year ended 30 June 2022 was $27,100.

Required

The accrued wages in the balance sheet on 30 June 2022 is:

a $200 b $27,100 c $26,900

Question 32

Oz Mortgage Brokers
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Electricity	24,200	

Additional Information

The $330 electricity bill for June 2019 was not received until July 2019.

Required

The electricity expense in the profit and loss ledger account is:

a $27,100 b $24,530 c $24,200

Question 33

Albany Traders
Trial Balance (extract)
as at 30 June 2019

Ledger Account Title	Debit	Credit
Wages	31,000	

Additional Information

The accrued wages on 30 June 2019 was $500.

Required

The wages expense in the profit and loss ledger account is:

a $31,000 b $30,500 c $31,500